CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 1 OF 28

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE COMPANY OF OKLAHOMA, AN OKLAHOMA CORPORATION, FOR AN ADJUSTMENT IN ITS RATES AND CHARGES AND THE ELECTRIC SERVICE RULES, REGULATIONS AND CONDITIONS OF SERVICE FOR ELECTRIC SERVICE IN THE STATE OF OKLAHOMA AND TO APPROVE VARIOUS COST RECOVERY MECHANISMS AND TARIFFS	CASE NO. PUD 2025-000075

EXCEPTIONS OF OKLAHOMA INDUSTRIAL ENERGY CONSUMERS, THE UNITED STATES DEPARTMENT OF DEFENSE AND ALL OTHER FEDERAL EXECUTIVE AGENCIES AND WALMART INC. TO THE REPORT AND RECOMMENDATION OF THE ADMINISTRATIVE LAW JUDGE

Oklahoma Industrial Energy Consumers ("OIEC"), the United States Department of Defense and all other Federal Executive Agencies ("DOD/FEA"), and Walmart Inc. ("Walmart") (collectively "Non-Stipulating Parties"), jointly submit these Exceptions to the Report and Recommendation of the Administrative Law Judge filed on August 21, 2026 ("ALJ Report").

These Exceptions address the ALJ's findings relating to the revenue requirement proposed by Public Service Company if Oklahoma ("PSO" or "Company") and the other parties who entered into the Revenue Requirement Joint Stipulation and Settlement Agreement ("Revenue Stipulation"), which are the Public Utility Division ("PUD"), the Oklahoma Attorney General ("AG"), AARP, and The Petroleum Alliance of Oklahoma ("PAO") (collectively "Stipulating Parties"). These Exceptions also address OIEC's objections to the ALJ's findings relating to the Large Load Joint Stipulation and Settlement Agreement ("Large Load Tariff Stipulation") submitted by Google, LLC ("Google") and PUD, and concurred in by PAO and the Data Center Coalition ("DCC").

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 2 OF 28

EXCEPTIONS TO ALJ REPORT REGARDING REVENUE STIPULATION

1. The ALJ recommends that the Commission adopt and approve "all aspects" of the Revenue Stipulation except for provision 1(k) of the Revenue Stipulation related to the allocation method proposed by the Stipulating Parties for transmission and renewable generation costs. The ALJ proposes that the Commission require PSO to continue to employ the 4CP allocation method for the allocation of transmission and renewable generation costs.

2. The Non-Stipulating Parties agree with the ALJ's recommendations to reject paragraph 1(k) of the Revenue Stipulation and to require PSO to continue to use the 4CP A&E cost allocation method for the reasons discussed below.

3. However, the Non-Stipulating Parties except to the ALJ's recommendation to adopt the provisions of paragraphs 1(d), 1(e), 1(f), and 1(h) of the Revenue Stipulation, as discussed below. The Non-Stipulating Parties also object to the ALJ's failure to address—or even mention—the Non-Stipulating Parties' recommendations regarding additional adjustments to the net revenue deficiency proposed by the Stipulating Parties and regarding revenue distribution, for the reasons discussed below and in the Non-Stipulating Parties' Proposed Findings of Fact and Conclusions of Law. The ALJ's report is deficient in failing to address and make recommendations for the Commission to consider on these issues, which were raised by the Non-Stipulating Parties and are supported by the evidence. The purpose of the ALJ Report is to make recommendations to the Commission to consider, and the report is to include the pertinent facts found by the ALJ based "upon consideration of all evidence offered." OAC 165:5-13-4(a)(3). The Commission's final order is to include a summary of the "allegations of applicant, <u>and of all other parties of record.</u>" OAC 165:5-16-5(a)(4).

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 3 OF 28

4. The only portion of the ALJ Report that addresses in any detail the arguments presented by both parties is the portion addressing paragraph 1(k) of the Revenue Stipulation. Other than stating that the Non-Stipulating Parties opposed paragraphs 1(d), 1(e), 1(f), and 1(h) of the Revenue Stipulation and mentioning briefly a reason for the opposition, the ALJ Report does not address the other issues and arguments raised by the Non-Stipulating Parties in their Proposed Findings of Fact and Conclusions of Law (Entry No. 853). Key adjustments suggested by the Non-Stipulating Parties also were not considered or included in the Revenue Stipulation. (July 1, 2026 Tr., pp. 224:1-225:6; M. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 804, p. 8:5-9: Norwood Testimony in Opposition to Revenue Stipulation, Entry No. 800, pp. 3-15; D. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 798, pp. 2-7.) They were not considered because although the Non-Stipulating Parties participated in the initial settlement conference required to be held on June 3, 2026 under the Procedural Schedule, Order No. 754614, they were not included in the later discussions and negotiations that led to the Revenue Stipulation.. (M. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 804, p. 4:2-18; 7/1/26 Tr., pp. 245:18-25; Norwood Testimony in Opposition to Revenue Stipulation, Entry No. 800, p. 4; Gunner Testimony in Opposition to Revenue Stipulation, Entry No. 799, pp. 7:1-8:9.) The Non-Stipulating Parties were excluded from the negotiations even though they represent important segments of Oklahoma's economy.[1]

---

[1] OIEC is an unincorporated association consisting of a diverse group of large consumers of electricity on PSO's system. (S. Norwood Responsive Testimony, Entry No. 136, p. 6:1-3; M. Garrett Responsive Testimony, Entry No. 139, p. 5:9-13.) DOD maintains installations in Oklahoma, which purchase electric service at higher voltage levels and are comparable in size and operational complexity to a small municipality. (Blank Responsive Testimony, Entry No. 167, OCC[1] pp. 4:17-5:7 and 5:13-6:16.) FEA maintains accounts throughout Oklahoma, including a Veterans Administration facility, post offices, and other federal facilities. (*Id.* at p. 5:8-12). Walmart operates 134 retail units and four supply chain facilities

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 4 OF 28

5. The Revenue Stipulation proposed a base revenue deficiency of $ 447.1 million and WACC of 7.04% and, net of riders, PTCs, and other offsets and adjustments, and provides a net deficiency of $72.7 million. The Non-Stipulating Parties recommend a net base rate revenue requirement deficiency of $24.6 million, which incorporates adjustments to the net revenue deficiency proposed by the Non-Stipulating Parties that were not included in the Revenue Stipulation as discussed below. The additional adjustments are based on prior Commission decisions and widely-accepted ratemaking adjustments. (M. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 804, pp. 26:10-27:6 and Table 7.) Those adjustments are fair, just, and reasonable, and are in the public interest, as discussed below. OIEC also presented evidence supporting additional adjustments for consideration, which would result in PSO having an excess in revenues, rather than a deficiency, as also discussed below.

6. The ALJ recommends a base rate increase of $447.1 million, which is a 39% base rate increase—likely the largest rate increase ever authorized—along with expanding and extending PSO's riders that will increase this amount even further. (M. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 804, pp. 5-6.). Further, several items reflected in the Revenue Stipulation are shown as offsetting adjustments to arrive at a Net Revenue Deficiency of $72.6 million, which is misleading because much of the offsets do not actually reduce amounts recovered from customers. (*Id.* at 6-7.) For example, the $236.7 million shown in the table at page 4 of the ALJ Report as "Offsets (Rolled in Riders)" refers to rate increases imposed on customers through riders since the last rate case. (*Id.* at 7.) Thus, the $236.7 million does not reduce the actual

---

in Oklahoma and employs over 35,000 persons in Oklahoma. In 2025, Walmart supported over 19,409 supplier jobs in Oklahoma through its purchases of goods and services. (McGovern Responsive Testimony, Entry No. 171, OCC p. 4:17-20.) Walmart has over 48 stores and one distribution center and related facilities that are served by PSO. (*Id.* at OCC p. 5:1-5.)

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 5 OF 28

burden on ratepayers. Similarly the $76 million deferred tax refund shown in the same table also is not a true offset but is ratepayer money held by PSO that is required to be refunded to ratepayers. (*Id.*) The Revenue Stipulation, as recommended for approval by the ALJ, also includes a handful of insufficient revenue requirement adjustments, contrary to the Commission's standard, long-established regulatory policies, and omits key customer protections. The actual 3-year impacts of the ALJ's recommendations are shown in the following table:

Table 2: Actual 3-Year Rate Impacts from Proposed Settlement Agreement
($Millions)

Description	Year 1	Year 2	Year 3
Settlement Agreement Stated Increase (5%)	$72.6	$72.6	$72.6
SPP Rider (approximately $40M per year)	$40	$80	$120
GEAR Rider (approximately $6M per year)	$6	$12	$18
Vegetation Management Reg Asset			$17
EDIT Tax Refund Amortization (expiring in 2 Years)			$76
Total Rate Increase	**$119**	**$165**	**$304**
Percentage Rate Increase per Year[1]	**8.2%**	**11.3%**	**20.9%**

Conclusion:
As a result of the Settlement, rates will increase ***substantially*** each year. By 2028, ratepayers will pay rates that are $304 million higher than they are today, an ***additional* 21%** increase over currently approved total rates, not 5%.

[1] Calculations based on Settlement Agreement stating $72.6 = 5% of Current Total Bill Revenues.

(M. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 804, Table 2, pp. 7-8.)

7. The ALJ's recommendation to adopt all aspects of the Revenue Stipulation, except for paragraph 1(k), is not in the public interest and will not result in rates that are fair, just and reasonable. The negotiations that resulted in the revenue stipulation excluded key customer groups, resulting in a Stipulation that unfairly omits important adjustments proposed by the Non-

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 6 OF 28

Stipulating Parties. (*Id.* at 8-9.) Neither of the two customer parties signing the settlement agreement—AARP and PAO—addressed revenue requirement issues in their intervention. (*Id.* at 9.) The Company made no meaningful concessions in the Revenue Stipulation. Instead, the Revenue Stipulation is made-up of rider reclassifications and offsets, refunding money already owed to ratepayers, and an insignificant handful of adjustments that are routinely and consistently ordered by the Commission. (*Id.* at 8-9.) For example, the Storm adjustments merely shift costs from base rates to riders; the Payroll adjustments are standard year-end normalization adjustments routinely ordered by the Commission in rate cases; the Incentive Compensation adjustment is smaller than the standard adjustment the Commission has ordered for more than 35 years; the Depreciation adjustment largely preserves rates already approved in the last rate case; the SERP and Chamber of Commerce Dues adjustments are standard, immaterial adjustments routinely ordered by the Commission; the Cash Working Capital and Factoring adjustments simply flow from the overall revenue requirement change; and the Deferred Tax Liability Offset reflects prepaid taxes that must be refunded to ratepayers in any event. In other words, ratepayer money is being used to make the Settlement Agreement appear more favorable than it is. The purported customer benefits are largely illusory and result in a substantial windfall for PSO at customers' expense. (*Id.* at p. 10.) The only concession made by the Company in the Stipulation was that it agreed to an ROE of 9.375%, which is slightly lower than the 9.5% currently approved. The revenue requirement impact from this slight move is only $5.8 million, or a 1.3% reduction of the overall $447.1 million base rate increase recommended by the ALJ. (*Id.* at 9.) The Base Rate increase recommended by the ALJ is higher than the base rate increase of $401 million recommended by the AG and the $394.8 million recommended by the PUD in their responsive testimonies, and higher than the $301 million recommended by OIEC. (PUD Amended Revenue

Requirement Exhibit, Entry No. 744, p. 19; Horeled Settlement Testimony, Entry No. 787, OCC p 4, Table 1; Betchan, 7/1/26 Tr., p. 62:17-25; M. Garrett Testimony in Opposition to Stipulation, Entry No. 804, p. 10:16-19.)

The ALJ's recommendations to retain the 4CP A&E methodology for transmission and renewable energy costs

8. The Non-Stipulating Parties support the ALJ's recommendation that the Commission reject paragraph 1(k) of the Joint Stipulation and require PSO to continue using the 4CP A&E methodology to allocate transmission costs and fixed production costs, including the fixed costs of wind and solar facilities. The ALJ's recommendation is supported by substantial evidence, is consistent with established cost-causation principles, and should be adopted by the Commission.

9. The ALJ correctly recognized that the purpose of a class cost-of-service allocation is to assign costs proportionally to the customer classes that cause those costs. (ALJ Report at 8.) Although resulting class bill impacts may be considered in designing rates, they do not establish whether an allocation methodology accurately reflects cost causation. As DOD/FEA witness Dr. Blank explained, an alleged subsidy cannot be established merely by comparing the results produced by a 4CP A&E allocation methodology with the results produced by PSO's preferred renewable-only and transmission allocation methodologies. Such a comparison demonstrates only that changing the methodology changes the class cost results. (Blank Rebuttal, Entry No. 496, p. 8:8–13.) Accordingly, the fact that PSO's proposed 12CP and blended renewable allocators would produce a smaller residential increase does not provide a sufficient cost-causation basis for adopting those methodologies.

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 8 OF 28

The record supports the ALJ's recommendation to retain 4CP A&E for transmission costs

10. The record demonstrates that PSO remains a summer-peaking utility. DOD/FEA witness Dr. Blank testified that PSO's monthly system peaks during June, July, August, and September are substantially higher than its peaks during every other month of the year. (Blank Rebuttal, Entry No. 496, pp. 4:14–17.) Dr. Blank explained that transmission capacity is driven by PSO's summer peak demands and therefore recommended retaining the 4CP A&E allocator because it more accurately assigns transmission costs to the customer classes responsible for those peak-capacity requirements. (*Id*. at 4:14–23; 11:22-12:1–7.)

11. OIEC witness Mark Garrett independently reached the same conclusion. He testified that the appropriate transmission cost allocation method should reflect PSO's system usage peaks, which are driven primarily by Oklahoma's summer weather patterns. (M. Garrett Rebuttal, Entry No. 518, p. 7:8–13.) He further explained that PSO plans and sizes its transmission system to accommodate its customers' summer-peaking usage and that the corresponding cost-causation and price signals should therefore track PSO's actual summer-peak usage through a 4CP methodology. (*Id*. at 8:1-9:1–9.)

12. Walmart witness Dr. Jaime McGovern independently reached the same conclusion. (McGovern Responsive Testimony, Entry No. 171, OCC p. 12.) Dr. McGovern testified that the Commission evaluated this same issue in PSO's prior base rate case and ordered the Company to allocate transmission costs using the 4CP A&E methodology, matching the allocation used for production costs. (*Id.*) The 4CP A&E method specifically accounts for a weighted average of the average demand and the excess demand that occurs during PSO's four summer peaking months of June through September. (*Id.*) Dr. McGovern testified that abandoning this approved methodology

in favor of a 12 CP allocator abruptly disregards the Commission's established precedent for allocating these costs among Oklahoma retail customers. (*Id.*)

13. The ALJ properly relied on this evidence in finding that PSO's transmission system is designed to meet peak load, that PSO is a summer-peaking system, and that the system peaks during the remaining months do not approach the summer peak. (ALJ Report at 8–9.) The ALJ therefore correctly concluded that averaging each class's coincident demands during PSO's four summer peak months more accurately allocates transmission costs to the classes that cause them. (*Id*. at 9.)

14. The ALJ also correctly rejected the contention that SPP's use of the 12CP allocator for transmission cost requires PSO to employ the same methodology for Oklahoma retail cost allocation. Dr. Blank explained that SPP's 12CP methodology is a regional wholesale cost-assignment mechanism that does not control the Commission's allocation of PSO's retail revenue requirement among Oklahoma customer classes based on cost causation, fairness, and Oklahoma ratemaking precedent. (Blank Rebuttal, Entry No. 496, p. 11:3–10.)

15. Dr. Blank further explained that the Commission's task is not to replicate SPP's wholesale billing methodology but to determine which allocation method best reflects how PSO's retail customer classes cause transmission costs to be incurred. (*Id*. at 10:12–22.) Using 12CP simply because SPP uses 12CP would improperly allow SPP's regional tariff design to control Oklahoma retail rate design. (*Id*. at 11:11–15.) The Commission must instead independently evaluate PSO's load characteristics and determine whether its transmission costs are driven by year-round monthly peaks or by its highest summer peaks. (*Id*. at 11:11–15.)

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 10 OF 28

16. Mr. Garrett likewise testified that accurate retail transmission-cost allocation must reflect PSO's own system characteristics, rather than the weather and usage patterns of other utilities throughout SPP's much larger geographic region. (M. Garrett Rebuttal, Entry No. 518, pp. 8:19–20; 9:1–9.) The ALJ therefore correctly concluded that SPP's use of 12CP does not establish that 12CP is appropriate for allocating PSO's Oklahoma retail transmission costs. (ALJ Report at 9.)

<u>The record supports the ALJ's recommendation to retain 4CP A&E for wind and solar production costs</u>

17. The ALJ also correctly rejected PSO's proposal to allocate wind costs using an 85% energy/15% demand allocator and solar costs using a 38% energy/62% demand allocator. Dr. Blank testified that PSO's wind and solar resources are part of the same integrated generation portfolio used to serve customers' combined energy and capacity requirements. (Blank Rebuttal, Entry No. 496, p. 7:8–17.) The fact that renewable resources have operating characteristics different from fossil resources does not establish that their fixed costs should be removed from the integrated production portfolio and allocated through separate, resource-specific methodologies. (*Id*. at 7:9–17.)

18. As Dr. Blank explained, there is no sound cost-causation basis for isolating renewable resources from the remainder of PSO's production portfolio. (*Id*. at 7:18–23; 8:1–7.) The 4CP A&E methodology already recognizes the two principal drivers of fixed production costs: customers' average energy use and their contributions to system peak demands. (*Id*. at 8:1–7.) It is therefore better suited to allocate the fixed costs of PSO's integrated production portfolio than a resource-by-resource approach that assigns different methodologies based on selected operating characteristics. (*Id*. at 8:1–7.)

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 11 OF 28

19. Dr. Blank further testified that 4CP A&E captures both the energy requirements of high-load-factor customers and the excess-demand requirements of lower-load-factor, weather-sensitive customers. (*Id*. at 8:14–20.) By contrast, isolating renewable costs and assigning a greater portion of those costs based on energy consumption shifts costs to high-load-factor customers without recognizing the broader production-capacity costs required to serve peak-driven loads. (*Id*. at 8:14–20.)

20. Mr. Garrett similarly testified that a production-cost allocator better reflects cost causation and that it is inappropriate to carve out one type of generating asset and allocate its fixed costs through a different methodology. (M. Garrett Rebuttal, Entry No. 518, p. 20:1–12.) He explained that 4CP A&E already contains both energy and demand components and permits baseload, intermediate, peaking, and renewable resources to be allocated under a consistent methodology. (*Id*. at 20:12–15). Mr. Garrett concluded that the Commission's longstanding production-demand methodology remains reasonable because it reflects traditional cost-causation principles, treats generation resources consistently, preserves regulatory stability, and avoids arbitrary cost shifts. (*Id.* at 28:6–15.)

21. Dr. McGovern also recommended that the Commission reject the Company's proposed wind and solar generation capacity cost allocators and require it to allocate all generation capacity using the 4CP A&E allocator. (McGovern Responsive Testimony, Entry No. 171, OCC pp. 10-11.) Dr. McGovern testified that both wind and solar generation capacity costs are fixed costs and not incurred on an energy basis. (*Id.*) Dr. McGovern testified that the Company's proposal is inconsistent both with the mechanism by which it proposes to allocate the remainder of the generation assets, and with the underlying drivers of production capacity cost allocation.

(*Id.*). Dr. McGovern testified that the Company's proposed allocation for solar and wind resources are each based on a pre-determined weighting mechanism from the SPP's "effective load carrying capability" methodology, which does not reflect the load impact of different customer classes on the system, both in terms of peak load and average demand. (*Id.*) This contrasts with the 4CP A&E method, which is based on customer class loads and takes both class energy consumption and peak demand factors into consideration when allocating costs to ensure that the outcome better represents the costs that each customer class places on the utility. (*Id.*)

22. The record also supports the ALJ's conclusion that no material change in circumstances justified abandoning the existing methodology. Dr. Blank testified that PSO's integrated production portfolio continues to serve the same types of customer energy and peak-demand requirements and that the cost-causation principles governing the choice of allocation methodology have not changed with the addition of wind and solar resources. (Blank Rebuttal, Entry No. 496, p. 4:7–13.) Mr. Garrett likewise testified that the operating characteristics cited in support of the proposed change, including renewable intermittency, effective-load-carrying-capability accreditation, and different energy and capacity characteristics, have been understood for years and do not constitute new evidence or changed circumstances. (M. Garrett Rebuttal, Entry No. 518, p. 24:4–14.)

23. Moreover, the Commission's prior approval of a blended allocator for the Sundance wind facility does not support applying blended allocators to PSO's entire renewable portfolio. Mr. Garrett explained that the Sundance treatment was a limited exception adopted as part of a prior settlement and expressly treated as a pilot for further evaluation. (*Id.* at 4:11–15) Consistent with that limited treatment, Dr. Blank recommended that the Commission reject PSO's proposed

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 13 OF 28

systemwide renewable allocators and continue using 4CP A&E for all fixed production costs, including renewable production costs. (Blank Rebuttal, Entry No. 496, p. 9:11–19.)

24. The ALJ correctly determined that the evidence did not support an across-the-board departure from 4CP A&E for wind and solar facilities and that any proposed change should be studied further and presented in PSO's next general rate case. (ALJ Report at 9.) That measured conclusion preserves the Commission's ability to consider new evidence in a future proceeding while avoiding an unsupported change in this case.

The Final Order should expressly implement the ALJ's recommendation

25. For these reasons, the Non-Stipulating Parties respectfully request that the Commission adopt the ALJ's recommendation and expressly provide in its final order that:

- PSO's proposed 12CP transmission allocator is rejected;
- PSO's proposed 85% energy/15% demand wind allocator is rejected;
- PSO's proposed 38% energy/62% demand solar allocator is rejected;
- PSO shall use 4CP A&E to allocate transmission costs and all fixed production costs, including the fixed costs of wind and solar facilities; and
- PSO shall recalculate the class cost-of-service results, class revenue allocation, and rates, consistent with those determinations.

26. Such clarification will ensure that the Commission's final order fully implements the ALJ's recommendation to disallow paragraph 1(k) and avoids uncertainty regarding the methodologies PSO must use in its compliance filing.

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 14 OF 28

Exceptions to the ALJ's recommendations to adopt Paragraphs 1(d), 1(e), 1(f), and 1(h) of the Revenue Stipulation

27. Paragraph 1(d) of the Revenue Stipulation allows PSO to defer eligible vegetation management costs through a regulatory asset. PSO initially requested the Commission to approve a rider to collect vegetation management costs over a five-year period. OIEC, the AG and PUD, in their responsive testimony, opposed PSO's request to recover vegetation management costs through a rider. (Matejcic Responsive Testimony, Entry No. 142, pp. 10-14; Alsup Responsive Testimony, Entry No. 149, p. 16; M. Garrett Responsive Testimony, Entry No. 139, pp. 60:17-62:8.) PUD initially recommended that vegetation management expenses remain in base rates and that the amount in base rates remain unchanged. (Alsup Responsive Testimony, Entry No. 149, p. 17.) The AG's initial position was that if PSO had maintained the average trimming needed on a yearly basis, those amounts would be reflected in PSO's historical test year balances and customers should not be responsible for the inaction of PSO's management in falling behind on trimming. (Matejcic Responsive Testimony, Entry No. 142, p. 15.) However, both the AG and PUD changed their position and joined in the Revenue Stipulation. Paragraph 1(d), which authorizes a regulatory asset for vegetation management costs, will likely result in the Company collecting from ratepayers $13 million of vegetation management costs incurred in the first year and $4 million each year thereafter, beginning with PSO's next rate case. PSO's request for a vegetation management rider resulted from the Company's failure to keep up with PSO's Vegetation Management Plan, which was required by the Commission's rules, as testified to by the AG and OIEC. (Matejcic Responsive Testimony, Entry No. 142, pp. 9:2-10:14; M. Garrett Responsive Testimony, Entry No. 139, pp. 60:17-62:8). OIEC and the AG (initially) asserted that PSO's request inappropriately benefited or shifted risk from the utility to the customers. (Matejcic Responsive Testimony, Entry No. 142, p. 14:15-20; M. Garrett, Responsive Testimony, Entry No.

139, pp. 60:17-62:8.) For these reasons, the Commission should reject the ALJ's recommendation to approve paragraph 1(d) of the Revenue Stipulation.

28. Paragraph 1(e) of the Revenue Stipulation expands the Southwest Power Pool Transmission Cost ("SPPTC") Rider to include all affiliate SPP transmission charges. The AG and PUD initially opposed PSO's request to expand the SPPTC Rider (Matejcic Responsive Testimony, Entry No. 142, pp. 18-21; Chaplin Responsive Testimony, Entry No. 151, pp. 7-9), but both the AG and PUD changed their position and joined in the Revenue Stipulation. OIEC also opposed this request, (Norwood Responsive Rate Design Testimony, Entry No. 173, OCC pp. 4-11.) The Non-Stipulating Parties oppose this expansion because such charges are projected, include costs for assets that are not yet in service, and have not been demonstrated to be reasonable, prudent, known and measurable, or consistent with the "lower of cost or market" standard traditional applied to affiliate transactions. (Norwood Testimony in Opposition to Revenue Stipulation, Entry No. 800, OCC p. 11:6-16; Matejcic Responsive Testimony, Entry No. 142, pp. 18-21; Chaplin Responsive Testimony, Entry No. 151, p. 8:12-13.) The majority of the affiliate transmission charges to PSO are SPP Schedule 9 charges, shown in Hearing Exhibit 2, which is PSO's Response to AG 21-12. (Norwood, 7/2/26 Tr., pp 86-88:1.) Assuming that these charges are not put into base rates, the impact of this tariff is $49.3 million in the first year, $102 million in the second year, $186 million in the third year, and $280 million in the fourth year. (*Id.*) Rejection of PSO's SPPTC Rider expansion is consistent with the Commission's approved treatment of PSO's affiliate transmission charges in PSO's last three rate cases. (Norwood Testimony in Opposition to Revenue Stipulation, p. 10:14-16.) For these reasons, the Commission should reject the ALJ's recommendation to approve paragraph 1(e) of the Revenue Stipulation.

29. Paragraph 1(f) of the Revenue Stipulation extends the sunset provision of the Grid Enhancement and Resiliency ("GEAR") rider from July 1, 2027, to December 31, 2029, and caps the rider at $6 million annual recovery going forward. OIEC, the AG and PUD recommended in responsive testimony that the Commission disallow PSO's request to extend the term of the GEAR Rider. (Norwood Testimony in Opposition to the Revenue Stipulation, Entry No. 800, OCC p. 14:4-18; AG witness Matejcic Responsive Testimony, Entry No. 142, pp. 15-18; Khalili, 7/1/26 Tr., p. 134:5-9.). However, the AG and PUD changed their position and joined in the Revenue Stipulation. OIEC witness Norwood testified that the Company has not demonstrated that the GEAR projects are cost effective, likely to materially improve PSO's system reliability, or are otherwise beneficial to customers. (Norwood Testimony in Opposition to Revenue Stipulation, Entry No. 800, OCC p. 14:4-18.) PUD witness Farzad Khalili testified that the GEAR rider will result in a cost to ratepayers of an additional $6 million per year. (7/1/26 Tr., p.. at 134:5-9.) AG witness Matejcic testified that it was not necessary to grant PSO continued access to this rider or to an increase in its funding in light of the frequency of PSO's rate cases filed in recent years and the expectation for frequent rate cases to continue due to the projected load growth and the increase in Company owned assets. (Matejcic Responsive Testimony, Entry 142, pp. 16:12-17:5.) Mr. Matejcic also testified that the GEAR Rider capital expenses are covered within Plant In-Service Accounting, and the Company's O&M should be recovered thorough base rates as they are within the Company's control and are neither substantial nor volatile enough to warrant extraordinary recovery outside of base rates proceedings. (*Id.* at p. 17:6-20.) Mr. Matejcic testified that extending an increase in funding for the GEAR Rider would inappropriately shift risk away from the utility to the customers. (*Id.* at p. 17:20-18:3.) Extending the sunset provision of the GEAR rider to December 31, 2029 is not fair, just or reasonable and is not in the public interest. For these reasons,

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 17 OF 28

the Commission should reject the ALJ's recommendation to approve paragraph 1(f) of the Revenue Stipulation.

30. Paragraph 1(h) of the Revenue Stipulation continues to treat the NOLC as ordered in Case No. PUD 2024-000032. Both PUD and the AG supported using the Proportional Ratio Methodology for calculating the NOLC in their responsive testimony. (*See* M. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 804, pp. 14:12-14). The Non-Stipulating Parties recommend that the Commission adjust PSO's calculation of the NOLC based on the evidence. In calculating the NOLC, only the amount attributable to accelerated depreciation may be included in rate base under normalization principles. (M. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 804, pp. 14:1-15-21.) PSO attributes approximately 84% of the NOLC to accelerated depreciation; however, accelerated depreciation accounts for only about 10% of total tax deductions during years in which losses were generated, supporting a Proportional Ratio Methodology that allocates the NOLC based on relationship between accelerated depreciation deductions and total tax deductions. *Id.* Using the Proportional Ratio Methodology for calculating the NOLC was the direction set forth by this Commission in correspondence with the IRS. (*Id.* at 14:12-14) This NOLC recalculation reduces PSO's proposed revenue deficiency by approximately $23.1 million. For these reasons, the Commission should reject the ALJ's recommendation to approve paragraph 1(h) of the Revenue Stipulation, and order that the Proportional Ratio Methodology be used for calculating the NOLC.

Revenue Distribution

31. Neither the Revenue Stipulation nor the ALJ Report address revenue distribution to the customer classes. Non-Stipulating Parties recommend that the Commission find that rates

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 18 OF 28

should be set based on a revised cost of service study. Cost-based rates are important for maintaining an attractive business environment in Oklahoma as testified to by DOD witness Larry Blank. (L. Blank Responsive Testimony, p. 39:3-4.) Cost of service-based rates will produce equitable rates that reflect cost causation, send proper price signals and minimize price distortions. (J McGovern Responsive Testimony, p. 5:19-21.) A revenue allocation that assigns revenue to each class at cost of service is free of inter-class subsidies and therefore should be adopted in this case. (*Id.* at p. 11:8-9.) PSO should be directed to submit to the parties and file with the Commission a revised cost-of-service study and a compliance filing, which implement the provisions of the Commission's final order, and tariffs that conform to that order, within 10 days of the issuance of the order, and the tariffs and revised cost of service study should be provided to the parties and to the Director of PUD for their review and approval.

Additional Adjustments to the Net Revenue Deficiency proposed in the Revenue Stipulation

32. The ALJ did not address the additional adjustments recommended by the Non-Stipulating Parties. As stated above, most of these adjustments are based on widely accepted rate-making principles and prior Commission orders. (M. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 804, pp. 26:10-27:5 and Table 6.) These adjustments (including the NOLC adjustment discussed above) will reduce the net revenue requirement of $72.6 million stated in the Revenue Stipulation to $24.6 million and will result in rates that are fair, just, and reasonable. They are summarized in the following Table 6 at page 27 of M. Garrett's Testimony in Opposition to Revenue Stipulation (Entry No. 804):

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 19 OF 28

Table 6: Proposed Modifications to Settlement Agreement to Include Prior Commission Decisions and Widely-Accepted Ratemaking Adjustments (Source: See Table 2 Above) ($Millions)	
PSO Proposed Settlement Increase	$72.6
NOLC Recalculation	($23.1)
Off-System Customer Deposits	($2.5)
NE3 Non-Fuel O&M Decrease	($11.4)
Software Amortization at Approved 10-Year Level	($11.0)
Rate Increase after Standard Adjustments	**$24.6**

33. The AG, in responsive testimony, and OIEC proposed that Off-System Customer Deposits should be based on the customer deposit balance at the end of the six-month post-test year period. (Betchan Responsive Testimony, (Entry No. 138), p. 9.) PSO used a 13-month average of customer deposits, which is inappropriate because during the test year customer deposits increased substantially, largely due to new data-center capital available to the Company. (M. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 804, pp. 15:9-16:2.) Using the customer deposit balance at the end of the six-month post-test year adjustment period results in a reduction to rate base of approximately $26.7 million, with a $2.5 million impact on the revenue requirement. (*Id.*) This adjustment is a standard methodology used in every jurisdiction, including Oklahoma. *(Id.)* The adjustment for Off-System Customer Deposits reduces PSO's proposed revenue deficiency by approximately $2.5 million.

34. PSO's requested O&M expense for NE3 generating unit should be reduced by $11.4 million to reflect the reduction of O&M expenses expected to result because NE3 ceased using coal and was converted to burning natural gas in January 2026, which was within the six-month post-test year period. (Norwood Testimony in Opposition to Revenue Stipulation, Entry No. 800, OCC p. 5:8-19.) O&M expenses for coal-fired plants are inherently higher than O&M expenses for gas-fired plants, as shown by historical O&M expenses data for PSO's own gas-fired

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 20 OF 28

plants, along with recent analysis conducted by PSO's affiliate, SWEPCO. (*Id.*) The decrease in NE3 Non-Fuel O&M costs reduces PSO's revenue deficiency by $11.4 million.

35. A 10-year period should be used for amortization of software costs, as recommended by OIEC witness David Garrett and AG witness Brice Betchan. (D. Garrett Responsive Testimony, Entry No. 145, OCC pp. 91, 93-96; Betchan Responsive Testimony, Entry No. 138, p. 8.) The Revenue Stipulation includes a 7.5-year amortization of software costs. However, the Commission has approved a 10-year amortization for costs of software investments on multiple occasions under long-standing precedent. (D. Garrett, 7/2/26 Tr., p. 127:1-25; D. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 798, p. 6; D. Garrett Responsive Testimony, Entry No, 145, OCC pp. 95:17-96:2.) PSO provided no evidence to support its claim that the capital investment software applications only last for 5 years, as it claimed, or for the 7.5 years included in the Revenue Stipulation. (7/2/6 Tr. 128:1-11; D. Garrett Testimony in Opposition to Revenue Stipulation, pp. 6-7.) The difference between the adjustment accepted in the Revenue Stipulation and OIEC's recommended adjustment is approximately $13.4 million. (M. Garrett Testimony in Opposition to Revenue Stipulation, Entry No 804, p. 19:10-19.) Of this amount, approximately $11 million is related to the 10-year amortization period for software and that amount should be eliminated from PSO's revenue requirement. (*Id.*) The adjustment for the Software Depreciation and Amortization Rate of Adjustment reduces PSO's revenue deficiency by $11 million.

<u>Additional Adjustments and Modifications to PSO's Revenue Deficiency</u>

36. In addition to the above adjustments, the Non-Stipulating Parties recommend the following additional modifications and adjustments to PSO's proposed net revenue deficiency for

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 21 OF 28

the Commission's consideration, which would result, along with the above additional adjustments, in PSO having a revenue surplus, rather than a deficiency. (M. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 804, pp. 27:6-28, Table 7).

37. The Commission should disallow $49.75 million in capital investment associated with three major reliability projects. PSO has not demonstrated that these projects are prudent, cost-effective, or otherwise beneficial to customers. (Norwood Testimony in Opposition to Revenue Stipulation, Entry No. 800, OCC P. 9:9-11:2; Norwood Responsive Testimony, Entry 136, OCC pp. 14:11-18.4.) The adjustment for distribution reliability projects would reduce PSO's net revenue requirement by $4.6 million.

38. The capital structure recommended by OIEC witness D. Garrett would result in an adjustment of $28.6 to PSO's revenue requirement. Mr. Garrett recommended a capital structure consisting of 57% debt and 43% equity, resulting in a WACC of 6.26%. (D. Garrett Responsive Testimony, Entry No. 145, OCC pp. 11-13.) David Garrett testified that the average debt ratio of the proxy group used by all ROE witnesses, including PSO, was 57%. (D. Garrett Testimony in Opposition to Revenue Stipulation, Entry No. 798, pp. 4-5. Mr. Garrett testified that the average debt ratio of that proxy group is 57%. (*Id.*) The debt ratio utilized for PSO's parent company, AEP, was 58% at the end of 2025 (*Id.* at p. 5.) Under PSO's actual capital structure, customers would be required to pay a higher equity return on AEP's lower cost debt because "equity" on PSO's balance sheet is funded in part with AEP debt. (*Id.*)

39. PSO's six-month update to its rate increase application included a proposed $36.5 million pro forma increase to the actual incurred level of third-party transmission charges. (Norwood Testimony in Opposition to Revenue Stipulation, Entry No. 800, OCC pp. 7:7-8:3, 8:4-

13, 8:16-9:5.) OIEC witness Norwood testified that a majority of those charges are affiliate charges, which are based on projected charges and include costs of projects that are expected to be placed in service after the end of the six-month post-test year period, and that including those charges was not consistent with standard ratemaking treatment applied to PSO's own transmission charges, which limits cost recovery to actual cost of facilities placed in service as of the end of the six-month post-test year period. (*Id.;* Norwood Responsive Testimony, Entry No. 136, OCC pp. 18:8-20:20.) The adjustment for these affiliate transmission costs results in reducing PSO's net revenue requirement by approximately $36.5 million. (Norwood responsive Testimony, Entry No 136, OCC p. 20:9-20.)

40. OIEC witness Meredith Gunner recommended that adjustments be made for Directors' and Officers' Insurance expenses, Investor Relation Costs, and Industry Dues in the amount of $0.5 million. (Gunner's Testimony in Opposition to Revenue Stipulation, pp. 4:10-6:3.) AG witness Bohrmann and PUD witness Trotter also recommended investor relations, industry dues, and D&O liability insurance be shared equally between shareholders and ratepayers. (Responsive Testimony of Todd F. Bohrman, pp. 34-35, 48-52); Responsive Testimony of Kimberly Trotter, pp. 7-8.) Dr. Gunner testified that the costs should be allocated 50/50 between the Company's shareholders and customers because the costs provide substantial, direct benefits to the shareholders, and indirect benefits to the customers. (*Id.*) The adjustment for these costs results in reducing PSO's revenue requirement by approximately $0.5 Million.

OIEC'S EXCEPTIONS TO ALJ REPORT REGARDING LARGE LOAD TARIFF STIPULATION

41. The ALJ Report recommends approval of the Large Load Tariff Stipulation ("LLTS") recommended by PUD, Google, and PAO. *See* Report and Recommendation of the

Administrative Law Judge at page 12. OIEC excepts to this recommendation. As noted by OIEC in its Proposed Findings of Fact and Conclusions of Law Regarding the Large Load Tariff, the recommended tariff is inconsistent with Oklahoma House Bill 2992 which has been codified at 17 O.S. § 900, *et seq*. and is titled the Data Center Customer Ratepayer Protection Act of 2026 (the "Act"). Specifically, Paragraph 3.1 of LLTS purports to make the provisions of said stipulation applicable to all customers in excess of 75MW. This broadens the definition of a "large load customer" to which the separate tariff applies under the Act.

42. The LLTS is intended to address the requirements of the Act which became effective July 1, 2026. The Act specifically defines a large load customer as "new data centers, new cryptocurrency mining operations and new facilities whose primary function is artificial-intelligence computing facilities that contract with an electric supplier to add seventy-five (75) megawatts or greater electric load per facility or in aggregate behind a single point of interconnection to an electric supplier's load after July 1, 2026." 17 O.S. § 901(4). The definition of a large load customer in the Act also specifically excludes "residential, commercial, agricultural, or industrial ratepayers, or those entities that build generation for behind-the-meter projects." *Id*. The Act further provides that "all electric suppliers shall establish and maintain separate terms and conditions of electric service applicable to any large load customer and shall create and maintain <u>separate tariffs</u> applicable to such large load customers." 17 O.S. § 903.

43. Testimony filed on behalf of both PSO and PUD recognize that any large load tariff must comply with the Act. PSO witness Alex Vaughn's Rebuttal Testimony acknowledges that HB 2992 contemplates that electric suppliers will create and maintain new tariffs for qualifying large load customers and, as such, he attaches a proposed tariff for large load customers. Entry No. 501 at p. 7, lines 15-22. PUD witness Mary Elizabeth Purvis states in her Settlement Testimony

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 24 OF 28

that "the Stipulating Parties intend that the tariff approved under the Joint Stipulation will comply with HB 2992 and any Commission rule, order, or directive implementing HB 2992." Entry No. 785, at p. 8, lines 7-12. Despite this testimony concerning compliance with the Act, PSO's tariff, the proposed LLTS, and the Recommendation of the ALJ all fail to comply with the required definition of a "large load customer" under the Act.

44. Article IX, Section 18 of the Oklahoma Constitution grants the Oklahoma Corporation Commission ("OCC") the power to prescribe and enforce rates, charges, and classifications of public service corporations. The Oklahoma Legislature has codified the OCC's supervisory authority over utility tariffs at 17 O.S. § 152 which provides that the OCC shall have general supervision over all public utilities, with power to fix and establish rates and to prescribe and promulgate rules, requirements, and regulations affecting their services, operation, and the management and conduct of their business. Importantly, the OCC may not act beyond the authority granted by statute. The OCC is a tribunal of limited jurisdiction and nothing in the Constitution or statutes confers upon the OCC jurisdiction to grant relief beyond what is authorized. *See, e.g., Burmah Oil & Gas Co. v. Corporation Commission,* 541 P.2d 834, 836, 1975 OK 138 ¶ 12. The Oklahoma Supreme Court has also made clear that while Title 17 O.S. 2011 § 152 broadly grants the Commission supervisory authority over public utilities and grants it the power to establish rates, rules, requirements, and regulations, when a statute addresses how the Commission exercises that supervisory authority, the specific statute controls. *Matter of Application of Oklahoma Gas & Elec. Co.*, 2018 OK 31, ¶ 28, 417 P.3d 1196, 1205.

45. In this instance, the Act confers upon the OCC the ability to "promulgate rules within its authority and jurisdiction to effectuate the provisions of [the Act]." 17 O.S. § 905. The Act also provides a specific definition of what constitutes a "large load" subject to a separate tariff

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 25 OF 28

requirement. The OCC cannot expand the definition through tariff development to encompass customers that fall outside the statutory criteria – in this case customers who may add seventy-five (75) megawatts or greater electric load per facility or in aggregate, but are *not* (1) new data centers, (2) new cryptocurrency mining operations, or (3) new facilities whose primary function is artificial-intelligence computing facilities. The LLTS must be revised to conform to the Act and apply only to large load customers as defined therein.

<u>Interim Rate Refund</u>

46. PSO implemented an interim rate adjustment applicable to the base rate charges of all of PSO's retail customers on July 1, 2026, subject to refund, with no supporting workpapers provided to the parties.

47. PSO should be directed to implement a refund to customers of PSO's interim rate adjustment that exceeds the rates approved in the Commission's final order in this case. The refund should include reasonable interest at the one-year U.S. Treasury bill rate consistent with Title 17 O.S. § 152, and credited to PSO's customers using the same allocation method by which the interim rates were collected from such customers. The refund should appear as a credit on the customer's monthly billing and should be refunded in equal monthly installments beginning with the first monthly billing cycle following the issuance of the final order and concluding by no later than PSO's February 2027 monthly billing cycle. PSO should be directed to submit a report on a monthly basis to the Director of PUD and a copy of such report to all parties reflecting the refund.

Respectfully Submitted,

Thomas P. Schroedter, OBA #7988
HALL, ESTILL, HARDWICK, GABLE,
GOLDEN & NELSON, P.C.
521 East 2nd Street, Suite 1200
Tulsa, OK 74120
Telephone (918) 594-0400
TSchroedter@HallEstill.com

Eric C. Money, OBA #22654
HALL, ESTILL HARDWICK, GABLE,
GOLDEN & NELSON, P.C.
100 North Broadway, Suite 2900
Oklahoma City, Oklahoma 73102-8865
Telephone (405) 553-2870
emoney@hallestill.com

ATTORNEYS FOR OKLAHOMA INDUSTRIAL ENERGY CONSUMERS

s/John Joseph McNutt
John Joseph McNutt
Regulatory Law Counsel
Army Office of General Counsel
9275 Gunston Rd. (4th Fl.)
Fort Belvoir, VA 22060
Telephone (619) 302-9642
John.j.mcnutt.civ@army.mil
ATTORNEY FOR THE UNITED STATES DEPARTMENT OF DEFENSE AND ALL OTHER FEDERAL EXECUTIVE AGENCIES

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 27 OF 28

s/Rick D. Chamberlain

Rick D. Chamberlain
Attorney at Law
Oklahoma Bar Association No. 11255
State Bar of Texas No. 24081827
P.O. Box 206
Jones, OK 73049
(405) 229-4154
rdc.law@gmail.com
ATTORNEY FOR WALMART INC.

CASE PUD 2025-000075 ENTRY NO. 878 FILED IN OCC COURT CLERK'S OFFICE ON 09/01/2026 - PAGE 28 OF 28

CERTIFICATE OF SERVICE

This is to certify that on the 1st day of September, 2026 a true and correct copy of the above and foregoing document was served electronically on the parties that are listed on the Commission's Electronic Service List.

Thomas P. Schroedter